

What Is the Appropriate Planning Age for Retirees?

In chapter 2, we considered how sustainable spending relates to the retirement planning horizon and found that a longer horizon means spending less in order to sustain the available resources. We extend that discussion here within the context of Bill Bengen's analysis of the 4 percent rule.

The 4 percent rule is specifically based on a planning horizon of thirty years (so an eighty-five-year-old is not necessarily limited to a 4 percent spending rate). It gets its name from its suggested spending rate for the *first year* of retirement. Beyond that, the spending rate evolves to compensate for inflation, and portfolio returns guide the amount of remaining financial assets.

How long will your retirement last? The impossibility of answering this question with any long-term accuracy is one of the key challenges of planning a retirement income strategy. The nature of longevity risk is that we know our life expectancy, but it is based on an average with a great deal of variability.

Two general approaches exist to deal with this unknown element of longevity:

1. Planning for fixed retirement durations that are generally somewhere beyond life expectancy, and
2. Making plans that specifically incorporate survival rates by age into the calculations.

The former method is the most common (the 4 percent rule's fixed thirty-year horizon uses this method) and easiest to work with, but both approaches have their strengths.

Planning for a Fixed Retirement Horizon

Planning for a specific retirement time horizon begins by selecting a horizon you are unlikely to outlive and then developing a plan that covers